

MIDTERM EXAM STUDY GUIDE

ECON 2010 – Macroeconomics

Spring 2019

The midterm exam will be similar to the problem sets in style and organization. There will be there problems, each with multiple parts, that gauge your understanding of the material presented in the first half of class. There is some calculation that you will need to perform on the exam, and you may use a calculator. I have tried to make the calculations simple enough that you could complete the exam without a calculator, however. Moreover, most questions ask about your *conceptual* understanding of the material and do not require any calculations.

The following are questions about things that we've learned thus far in class that I think that you should be able to answer. These are *not* the questions or type of questions that will be on the exam. But they are questions that can help guide your studying. Which questions can you answer easily? Which seem more challenging? You may want to target your studying to those questions that you cannot easily answer.

Principles of Economic Thinking

How well do you understand each of the principles of economic thinking? Could you explain them to a friend? Could you provide examples? Would you recognize when one is being applied in an economic analysis? Would you know how to apply a principle – for instance, holding other factors fixed, or considering only marginal costs – in a problem if you were asked to?

Production Possibilities Frontier

Would you know how to draw a production possibilities frontier (PPF) if given pairs of possible production of two goods? Do you understand why we draw the PPF with two goods and what principle that represents? Do you know how to find possible pairs of productive allocations? Do you know how to find efficient pairs of productive allocations? Do you know what efficiency means in the context of the production possibilities frontier? Do you understand where the principles of marginal thinking and opportunity cost are utilized on the PPF? Could you explain what is happening when the economy moves from (efficiently) producing only one of the two goods to some of each good?

Market Supply and Market Demand

Do you understand what a supply schedule and a demand schedule represent? Do you understand who is supplying in a market for goods/services? What about in a labor market? Do you understand who is demanding in a market for goods/services? What about in a labor market? Do you know how to use individual supply and demand schedules to find market supply and market demand? Can you plot individual supply and demand? Can you plot market supply and demand? Do you understand how the principle of *ceteris parabis* is being applied when we draw supply and

demand? Can you give examples of things that might be held fixed in a given market? Do you know what is not held fixed when we plot supply and demand? Can you explain in your own words what a supply curve or demand curve represents?

Do you know where the market equilibrium is on a market supply and demand plot? Do you know what the market equilibrium is comprised of (two things)? Could explain what it means for it to be “an equilibrium”? Could you explain what the model of supply and demand tells about “who” determines prices/wages in a market? What would happen if someone selling in a market decided (on their own) to raise their price above the equilibrium? What would happen if someone buying in a market decided (on their own) to offer less than the market equilibrium price? Could you identify on a plot and explain excess supply and excess demand?

What questions would you ask yourself if you were given a change and asked which curve (market supply or market demand) shifted? Would you know how to draw shifted curves? Would you know how to find the new equilibrium after a curve shifts? What would you do if both curves shift?

Gross Domestic Product (GDP)

Could you explain what GDP means? If we care about what is produced in an economy, why do we use a measure like GDP? In the expenditure approach to GDP accounting, what are the different components of GDP? What is not included in GDP? If you were given a change in prices or production for something, could you explain how that would affect GDP? Could you identify which component of GDP would change? What’s the distinction between nominal and real GDP? What about per capita GDP? Could you calculate nominal, real, and per capita GDP if given the relevant numbers? Economists often use GDP as a measure of economic well-being — could you analyze this choice and explain some positive aspects of using this measure as well as some potential downsides?

Unemployment

Can you explain what the technical economic definition of the unemployment rate is? How is that rate calculated? How does the unemployment rate relate to the labor force participation rate? How might the unemployment rate rise? How might it fall? What do economists mean by the natural rate of unemployment? What do economists mean by full employment? How does this relate to frictional unemployment? What about cyclical unemployment?